FREE FINANCING REPORT

Vineyard Financing Report

Why 2026 Is a Genuinely Two-Track Market for Vineyards, What Current Pricing Looks Like Across Programs, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com

PAGE 1

Why Vineyard Financing Is a Genuinely Two-Track Market in 2026

Vineyard financing in 2026 depends heavily on which side of California's wine oversupply correction a property sits on. Mature, well-contracted vineyards in strong appellations remain genuinely financeable, while growers without long-term contracts — particularly in bulk or commodity-oriented regions — are finding it materially harder to secure operating capital. Owners who understand this divide, and who show up with a complete production and water-rights file, put themselves in a stronger position than those treating vineyard financing like a generic agricultural loan.

- **California is in the middle of a significant supply correction.** More than 38,000 acres of winegrape vineyards were removed statewide between October 2024 and August 2025 — roughly 7% of total vineyard acreage — with industry projections calling for another 40,000 acres removed in 2026 and reductions continuing through 2027-2028.
- **Grape prices and volumes both declined in the most recent crush.** The 2025 California crush totaled 2.76 million tons, down 6.2% from 2024, with the average price per ton falling 3.8% to $978.60 (red wine grapes down 4.4% to $1,280.63/ton).
- **Profitability pressure is translating directly into financing friction.** Industry reporting notes that "the lack of profitability has made it difficult for some growers to secure operating loans from banks," with growers lacking long-term purchase contracts hit hardest.
- **Government-backed agricultural financing remains a meaningful, below-market option.** USDA Farm Service Agency direct rates (effective August 1, 2026) run 6.000% for Farm Ownership loans (as low as 4.000% with joint financing) and 5.250% for Farm Operating loans — well below the 6.80% to 7.78% range seen across Farm Credit System and private agricultural real estate and operating loans.
- **Vineyard-specific leverage runs conservative.** Vineyard land lenders typically advance 65% to 80% of appraised land value, with vineyard-specific loan rates spanning roughly 4% to 10% depending on the program (USDA agricultural loans on the low end, SBA 7(a) and conventional bank loans running higher).

The practical takeaway: mature vineyards with documented yields, secure water rights, and experienced operators — especially those with long-term purchase contracts — remain financeable on reasonable terms. Newer plantings, unproven sites, or operations without contracted demand face a genuinely tighter lending environment right now.

PAGE 2

2026 Market Outlook for Vineyard Financing

Vineyard financing enters the second half of 2026 against the backdrop of a real, ongoing supply correction in California wine grapes, alongside financing programs that remain genuinely accessible for well-documented, established operations. The following figures outline where the market stands:

- California growers removed more than 38,000 acres of winegrape vineyards between October 2024 and August 2025 — approximately 7% of total statewide vineyard acreage — with industry sources projecting another 40,000 acres removed in 2026 and continued reductions expected through 2027-2028.

  Source: Vinetur, California Grape Growers Uproot 38,000 Acres of Vineyards Amid Wine Oversupply Crisis, 2026

- The 2025 California grape crush totaled 2,759,202 tons, down 6.2% from the 2,942,673 tons crushed in 2024; the overall average price per ton fell 3.8% to $978.60, with red wine grape prices down 4.4% to $1,280.63 per ton.

  Source: California Department of Food and Agriculture, Preliminary Grape Crush Report, March 2026

- Declining profitability has made operating loans harder to secure for some growers, with those lacking long-term purchase contracts facing the greatest difficulty.

  Source: Vinetur, 2026

- USDA Farm Service Agency direct lending rates effective August 1, 2026: Farm Ownership Loans at 6.000% (4.000% with joint financing, 2.000% for down-payment assistance) and Farm Operating Loans at 5.250% — a meaningful discount to commercial alternatives.

  Source: USDA Farm Service Agency, August 2026 Lending Rates Announcement

- Farm Credit System and private agricultural lenders price materially higher: Q3 2025 Federal Reserve district surveys showed long-term agricultural real estate loans ranging from 6.80% to 7.41% and operating loans from 7.50% to 7.78%, depending on district.

  Source: Federal Reserve district agricultural credit surveys, via Farmonaut, 2026

- Vineyard-specific financing spans roughly 4% to 10% depending on program — USDA agricultural loans around 4% to 7%, conventional bank loans 5% to 9%, and SBA 7(a) loans 6% to 10% — with vineyard land lenders typically advancing 65% to 80% of appraised land value.

  Source: Crestmont Capital, Vineyard Business Loans: The Complete Financing Guide, 2026

Bottom line for 2026: Vineyard financing is genuinely bifurcated right now. California's ongoing wine oversupply correction — nearly 80,000 acres removed or slated for removal between 2024 and 2026 — is putting real pressure on growers without long-term contracts, and profitability concerns are directly affecting some banks' willingness to extend operating credit. At the same time, established vineyards with documented production, secure water rights, and experienced operators continue to access competitive financing, particularly through USDA and Farm Credit programs. Which side of that line a property falls on matters more than in most years.

PAGE 3

Critical Metrics for Vineyard Financing

Lenders underwrite the agricultural operation as closely as the underlying real estate. The following metrics most often determine whether a request moves forward:

1. **Vine Age, Variety, and Production History**
   Documented historical yields and vine maturity, which anchor the entire underwriting analysis.

2. **Water Rights and Availability**
   Secure, adequate water is a threshold issue for most vineyard lenders.

3. **Purchase Contracts and Demand Security**
   Whether fruit is sold under long-term contracts versus exposed to spot/bulk market pricing.

4. **Operator Experience in Viticulture**
   Track record running a vineyard or comparable agricultural operation.

5. **Appellation and Location Quality**
   The reputation and market positioning of the growing region.

6. **Loan-to-Value and Program Fit**
   Leverage available depends on the program and the strength of the underlying land and operation. **65%–80% of appraised land value typical**

7. **Rate by Program**
   Pricing varies significantly depending on which program finances the deal.

   USDA FSA ~5.25%–6.00% (Farm Operating/Ownership, Aug 2026); USDA/agricultural loans broadly ~4%–7%; Farm Credit/private ag real estate ~6.80%–7.41%; conventional bank 5%–9%; SBA 7(a) 6%–10%

These metrics form the practical filter that separates vineyard financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Historical production and yield records are organized
- [ ] Details on vine age, variety, acreage, and condition are documented
- [ ] Water rights documentation and source information are ready
- [ ] Operating statements and financial history are current
- [ ] Operator experience in viticulture, winegrowing, or related agriculture is presented
- [ ] Soil, climate, and appellation/location context are gathered
- [ ] Information on any winery, processing, or related improvements is documented
- [ ] Existing debt schedule is prepared
- [ ] Entity documents and organizational structure are current
- [ ] Personal financial statements and credit information for owners/guarantors are ready

Common Reasons Vineyard Financing Requests Underperform or Get Declined

- Missing or incomplete production and yield history
- Uncertain or inadequately documented water rights
- No long-term purchase contracts to support projected cash flow
- Inexperienced operators without relevant viticulture background
- Young plantings without a demonstrated production track record

Final Perspective

Vineyard financing in 2026 rewards documentation and demand certainty more than almost any other agricultural asset class, precisely because the broader market is correcting for years of oversupply. Established vineyards with mature vines, secure water rights, experienced operators, and — increasingly important — long-term purchase contracts continue to access reasonable financing through USDA, Farm Credit, and specialized agricultural lenders. Younger plantings or operations exposed to spot-market pricing face a genuinely tighter path right now.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing production history, weak water-rights documentation, and lack of relevant operating experience are among the most common reasons otherwise solid vineyard financing requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com